12 Investment Banking Concepts

Twelve core technical concepts, each paired with a question you're likely to hear in an investment banking interview.

ACCOUNTING

1. **3 Statement Linkage**: Walk me through how a $10 increase in depreciation flows through the three financial statements.
2. **Working Capital**: If a company's accounts receivable go up, what happens to its cash flow, and why?

VALUATION

3. **Enterprise Value vs Equity Value**: What's the difference between enterprise value and equity value, and when would you use each?
4. **EV Bridge**: How do you get from equity value to enterprise value, and why do you add debt and subtract cash?
5. **Trading Comps**: How would you choose a set of comparable companies, and which multiples would you look at?
6. **Precedent Transactions**: Why do precedent transactions usually produce higher valuations than trading comps?
7. **DCF Valuation**: Walk me through a DCF.
8. **WACC**: How do you calculate WACC, and why is the cost of equity higher than the cost of debt?
9. **Terminal Value**: What are the two ways to calculate terminal value, and when would you prefer one over the other?

M&A

10. **Accretion & Dilution**: A company with a P/E of 20 buys a company with a P/E of 10 using all stock. Is the deal accretive or dilutive?

PRIVATE EQUITY

11. **MOIC**: A PE firm invests $100M and exits for $300M after five years. What's the MOIC, and roughly what's the IRR?
12. **LBO Mechanics**: Walk me through a basic LBO. What are the main levers that drive returns?

Want help preparing? Schedule a call to learn about 1-on-1 mentorship.

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